

Figure 7.1 illustrates the kind of logic we're going for here. In the top part you see the S&P 500 index, along with two exponential moving averages. With this being a bull market period of 2021, the faster moving average remains above the slower, as would be expected. This means that we are free to take long positions, if the pullback reaches our trigger value.

At the bottom of the same graph, you see this pullback analytic. This is simply the difference between the close price and the higher close in the past 20 days, divided by the 20-day average true range. If this dips below 3, we go long.

As for the exit, we are going to use a really simple logic, just to demonstrate the entry idea. I want to show that what is important with this kind of model is the entry. That does not mean that everything else is unimportant, but a mean reversion style model like this is very dependent on a solid entry logic. That's not the case for many other types of strategies.

To see if there is any predictive value in the entry method described, we are going to use two simple exit criteria. First, if the trend as defined by the two moving averages turns bearish, we exit on the following day. Second, if that does not happen, we hold the position for 20 trading days, approximately one month. Then we exit.

You are probably wondering why there is no stop loss point and no target exit price here. Those things may very well make sense, and I encourage you to try it out. The aim here is to teach you concepts and provide ideas for further research. Replicate what is shown here, try it out, modify it, and make it your own.

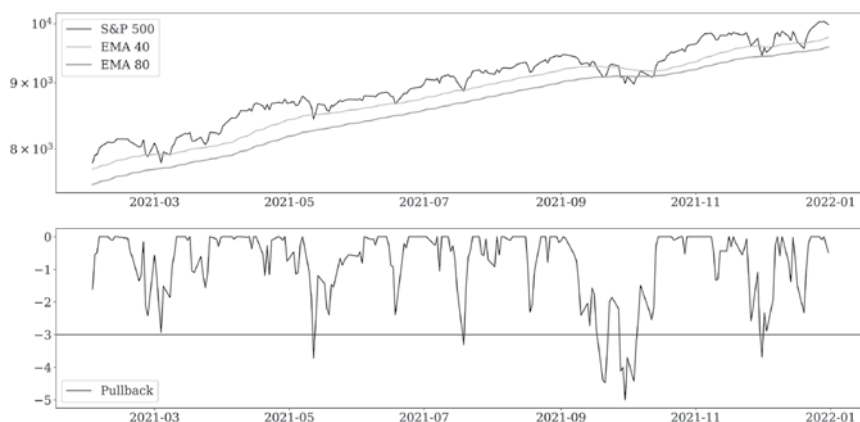


FIGURE 7.1 Counter-trend logic.